

FVN Research

Research Note - Methodology

Disclosure-Fundamental Mismatch as a reproducible quant research framework.

Hypothesis

The signal searches for disagreement between what the accounting reality implies and how management describes the business in public SEC disclosure. A firm with improving hard fundamentals but cautious or negative disclosure may be under-promoting reality. A firm with deteriorating fundamentals but optimistic disclosure may be over-promoting reality.

Pipeline

Step	Layer	Purpose
1	Public sources	SEC filings, FSDS, prices, dictionaries
2	Point-in-time layer	Accepted timestamps, availability, primary docs
3	Feature layer	Text tone, accounting deltas, DFM interactions
4	Model layer	Research panel, targets, walk-forward splits
5	Evidence layer	Models, portfolio, ablation, final verdict
6	Audit layer	Smoke, contracts, lineage, release gates, freeze

Feature design

- Text features: dictionary-based disclosure tone and section-level language proxies.
- Fundamental features: accounting levels, deltas, stress, and improvement composites.
- Mismatch features: interactions between hard fundamentals and disclosure tone.
- Targets: forward sector-adjusted returns aligned to feature as-of dates.

Model and portfolio design

- Walk-forward train, validation, and test roles prevent look-ahead leakage.
- Baseline models are ranked through validation evidence before portfolio use.
- Portfolio construction uses long-short decile logic with transaction cost accounting.
- Ablation compares DFM, fundamentals-only, text-only, and naive baselines.

Evidence standard

The final verdict is intentionally conservative. The research only becomes a public empirical alpha claim when the live-data run, release checklist, schema contracts, lineage graph, and freeze metadata all support that claim.